# AFMR

Transaction 3.3

Following is the information extracted from Trail Balance of Shri Ram at 31st March 2020,

| Particulars | Amount Dr | Amount Cr |
|---|---|---|
| Capital Account/Drawing | 6,000 | 41,000 |
| Plant and Machinery | 51,000 | |
| Office Furniture | 2,600 | |
| Stock, 1 April 2019 | 48,000 | |
| Motor Van | 12,000 | |
| Sundry Debtors/Creditors | 45,000 | 52,000 |
| Cash In Hand | 400 | |
| Balance at Bank | 6,500 | |
| Wages | 1.50,000 | |
| Salary | 14,000 | |
| Purchase/Sales | 2,13,500 | 4,80,000 |
| Bills Receivable | 7,200 | |
| Bills Payable | - | 5,600 |
| Returns | 9,300 | 5,500 |
| Provision for Doubtful debts | | 2,500 |
| Rent | 6,000 | |
| Lightning | 800 | |
| Telephone | 1,350 | |
| Insurance | 300 | |
| Advertisement | 6,350 | |
| General expenses | 1,000 | |
| Bad Debts | 2,500 | |
| Discount | 6,500 | 3,700 |
| Total | 5,90,300 | 5,90,300 |

Prepare P&L Statement and Balance sheet.

The Following adjustments are to be made:

a) Stock- 31st March 2020 is Rs 52,000
b) Rent due but not paid, till 31st March Rs 2,000

c) Lightning due but not paid till 31st Match 2020, Rs 300
d) Insurance paid in advance Rs 100
e) Depreciation – to be written off:
    a. Plant and Machinery @ 33-1/3 %
    b. Office furniture @ 10%
    c. Motor Van @ 33-1/3%
f) The provision for doubtful debts has to be increased to Rs 3,000
g) Discount at 2-1/2% on Debtors are to be provided.